

near the bottom of every major crash. Anytime the market has a substantial drop, you manage to make a purchase of broad indexes at advantageous prices. Similar to the World's Greatest Trader®, you set up an online account, and then you are off to the races, timing markets with the best of them.

*How would you imagine a trader with these skills would do?*

This idea came from a thought experiment run by my colleague Ben Carlson: What if you were the world's *worst* market timer, and you only bought stocks just before major crashes?<sup>[226](#)</sup>

Carlson's terrible timer made purchases at the highs before huge drops. Starting in 1970, his unlucky investor saved \$2,000 per year to be invested at market peaks. He raised his annual savings by \$2,000 per decade (that is, \$4,000 a year in the 1980s, \$6,000 in the 1990s, etc.) as his salary increased over time. He planned on retiring at age 65 at the end of 2013.

By contrast, the World's Greatest Market Timer only buys when indexes are trading at 52-week lows (assuming they are 17% below the last purchase).

The results of these two thought experiments might surprise you. The World's Greatest Market Timer did very well, as you would imagine someone buying near lows would. But when we compare the trader trying to bottom-tick markets against someone who was dollar-cost averaging into the same broad indexes, the results were fairly close on a percentage basis. In much of the world, the timer edges out the dollar-cost average (DCA). In the US markets and Greece (?!), our diligent averager actually comes out slightly ahead.

Surprisingly, Carlson's top-ticking worst timer of all time did pretty much okay. The results will vary somewhat based on which global index is used, but overall they were comparable.

One would imagine that only catching the lows (World's Greatest Market Timer) would create a huge performance advantage versus the ordinary